

Undertakings in Difficulty

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1

Application

1.1

Unless otherwise stated, this Part applies to:

1. (1) a [UK Solvency II firm](#); and
2. (2) in accordance with [Insurance General Application 3](#), the [Society](#), as modified by [6](#).

- 01/01/2016

2

Identification and Notification of Deteriorating Financial Conditions

2.1

A [firm](#) must have procedures in place to identify deteriorating financial conditions and must immediately notify the [PRA](#) when such deterioration occurs.

[Note: Art. 136 of the [Solvency II Directive](#)]

- 01/01/2016

Non-Compliance with the SCR

3.1

A [firm](#) must:

1. (1) immediately inform the [PRA](#) as soon as it observes that the [SCR](#) is no longer complied with, or where there is a risk of non-compliance within the next three [months](#);
2. (2) within two [months](#) from the observation of non-compliance with the [SCR](#), submit a realistic [recovery plan](#) for approval by the [PRA](#); and
3. (3) take the measures necessary to achieve, within six [months](#) (or such longer period as the [firm](#) is permitted by the [PRA](#) pursuant to section 138A or 138BA of [FSMA](#) as the case may be) from the observation of non-compliance with the [SCR](#), the re-establishment of the level of [eligible own funds](#) covering the [SCR](#) or the reduction of its risk profile to ensure compliance with the [SCR](#).

[Note: Art. 138(1)-(3) of the [Solvency II Directive](#)]

- 31/12/2024
- [Past version of 3.1 before 31/12/2024](#)

3.2

1. (1) [deleted]
2. (2) [deleted]

If the [PRA](#) has extended the period referred to in [3.1\(3\)](#), by reason of the declaration by the [PRA](#) of an [exceptional adverse situation](#) affecting the [firm](#), the [firm](#) must submit a progress report to the [PRA](#) every three [months](#) setting out the measures taken and the progress made to re-establish the level of [eligible own funds](#) covering the [SCR](#) or to reduce its risk profile to ensure compliance with the [SCR](#).

[Note: Art. 138(4) of the [Solvency II Directive](#)]

- 31/12/2024
- [Past version of 3.2 before 31/12/2024](#)

Non-Compliance with the MCR

4.1

A [firm](#) must:

1. (1) inform the [PRA](#) immediately where it observes that the [MCR](#) is no longer complied with or where there is a risk of non-compliance within the next three [months](#); and
2. (2) within one [month](#) from the observation of non-compliance with the [MCR](#), submit, for approval by the [PRA](#), a short-term realistic [finance scheme](#) to restore, within three [months](#) of that observation, the reestablishment of [eligible own funds](#) at least to the level of the [MCR](#) or to reduce its risk profile to ensure compliance with the [MCR](#).

[Note: Art. 139(1), (2) of the [Solvency II Directive](#)]

- 01/01/2016

5

Recovery Plan and Finance Scheme

5.1

Any [recovery plan](#) or [finance scheme](#) must at least include particulars or evidence concerning the following:

1. (1) estimates of management expenses, in particular current general expenses and commissions;
2. (2) estimates of income and expenditure in respect of direct business, [reinsurance](#) acceptances and [reinsurance](#) cessions;
3. (3) a forecast balance sheet;
4. (4) estimates of the financial resources intended to cover the [technical provisions](#) and the [SCR](#) and the [MCR](#); and
5. (5) the [firm's](#) overall [reinsurance](#) policy.

[Note: Art. 142(1) of the [Solvency II Directive](#)]

- 01/01/2016

Lloyd's

6.1

For the purposes of this Part, [3](#) and [5](#) shall apply to the [Society](#) such that a breach of the [central requirement](#) shall also be treated as a breach of the [SCR](#).

- 01/01/2016